

NESAm – Frequently Asked Questions

What is NESAm?

NESAm (**N**eradi **E**liya **S**amuga **A**tharavu **K**aram) is a community-driven financial support initiative designed to assist the families of deceased alumni through small contributions from fellow members.

Why NESAm?

- Incomparable satisfaction in helping fellow alumni families.
- Minimal financial contribution for maximum impact.
- No medical check-ups required.
- Quick & simple claim process with minimal formalities.
- Lifetime risk coverage with a one-time membership fee.
- Can be availed by any Life/ Patron Member of IRTTAA, irrespective of their earning capability, resident status (NRI)/ citizenship (OCI, Foreign Citizenship)

How It Works?

- One-Time Membership Fee – Paid once during registration.
- DFC Contributions – Minimal Death Fraternity Contribution (DFC) collected only when a fellow alumnus passes away.
- Family Receives Support – Collected amount is handed over to the deceased member's family.

What are the eligibility criteria to be part of this program?

- Must be a Life/Patron member of IRTT Alumni Association.
- Maximum entry age is 60 years.
- Each alumnus must register individually to be part of this program.

What is the One-time Membership fee to be paid during registration?

The one-time membership fee is collected based on the completed age of the alumnus on the day of making the payment. The various age slabs and the amount is as per the following table:

Age band	Membership Fee
Up to 25 years	₹ 2,000
26 to 30 years	₹ 3,500
31 to 35 years	₹ 5,000
36 to 40 years	₹ 7,000
41 to 45 years	₹ 9,500
46 to 50 years	₹ 11,500
51 to 55 years	₹ 14,000
56 to 60 years	₹ 16,500

What is the DFC to be paid when a fellow alumnus passes away?

The **Death Fraternity Contribution (DFC)** is determined based on the **age of the contributing alumnus at the time of the fellow alumnus's demise**. The amount varies by age band as follows:

Age band	DFC
Up to 25 years	₹ 100
26 to 30 years	₹ 200
31 to 35 years	₹ 400
36 to 70 years	₹ 500
Above 70 years	No contribution required.

This means that **whenever a fellow alumnus passes away, each registered member contributes an amount based on their own age at that time**. The collected contributions are then pooled and given to the bereaved family as financial support.

At the time of enrolment, is there any other charges needs to be paid other than the one-time membership fee?

At the time of enrolment, in addition to the one-time non-refundable membership fee, 5-times the DFC based on your age-band will also be collected under the head as “Advance DFC”. This will be refunded under the following circumstances:

- Along with the settlement to the beneficiary in the event of demise of the registered member.
- When the NESAm membership is deactivated due to non-payment of DFC even after the Notice Period of 1 year, followed by the Grace period of 15 days – after deducting the outstanding DFC dues.
- When a NESAm member voluntarily opt to discontinue the membership.

Until what age the risk on life is covered?

Life risk is covered for your entire lifetime.

Up to what age I should be paying the DFC?

The DFC needs to be paid till your age of 70. After that, without any further DFC contribution, your membership status will remain active, and the risk on life is still covered.

For Founding Members, the DFC will be collected up to their age of 65, or a max of 20 years since enrolment, whichever is earlier.

What is the reason for collecting the membership fee?

The Membership Fee will be used for the following purposes:

- When a registered member passes away, the estimated DFC from all the members will be paid to the bereaved family from the corpus collected, which will eventually be refilled when the DFC is paid by all the members.
- The interest generated out of the corpus will be used to meet the administrative expenses for this program like software subscription & maintenance charges, salary for the admin (if employed) and so on.

Will my membership fee be refunded if I decide to opt-out of this program?

Once the program is activated, the membership fee will not be refunded. Please remember that, once you opt-out of this program, to enrol again, the membership fee will need to be paid based on your completed age at the time of re-enrolment.

Why should I enrol myself when I have coverage for my life via an individual Term Insurance policy?

We get an immense satisfaction of supporting a fellow alumni's family in time of a need by contributing a very minimal amount (DFC) in a time of need.

My husband is a registered member of NESAm. Should I also register for this by paying the membership fee?

Yes. Irrespective of your relationship with another alumni, you need to register yourself individually by paying the one-time membership fee and pay DFC regularly.

In case of demise of the registered member, to whom the NESAm program benefit will be settled?

It will be settled to the nominee(s) registered by the member of the program. Registration of one or more nominees is a mandatory requirement during enrolment. The details of the nominee can be updated anytime by the registered member.

Payment will be made to the Legal Heir(s) (divided equally) in case all the assigned nominee(s) are not alive. For the legal heir(s) to claim this, they need to produce the legal heir certificate obtained from the competent authority.

At the time of claim if my nominee is not alive, to whom the settlement will be made?

The app allows updating of the nominee details at any time. In case if it is not updated, and the nominee is not alive, the DFC collected will be paid to the legal heirs as per the certificate issued by a competent authority.

What happens to my membership if I do not pay the DFC regularly?

As this is a community support scheme, you need to pay the DFC regularly within the stipulated time. If for any reason you are not able to pay the DFC on time, reminders will be sent to you via all possible communication modes for a period of 1 year, referred as notice period. After that a 15-day grace period will be provided to clear all the DFC dues.

After this grace period also if the dues are not cleared, your NESAm membership will be deactivated, and your life is not covered under this program.

To become a member again you need to enrol yourself as a new member by paying the one-time membership fee, based on your completed age at that point in time.

If my membership is deactivated, will my membership fee be refunded?

No. If the membership is deactivated due to non-payment of DFC, the one-time membership fee will not be refunded. The balance in Advance DFC (if any) after deducting the DFC dues will be returned to you.

Is there any special discount for Patron Members of Alumni Association?

For Patron Members, a standard discount of 5% is provided on the one-time membership fee. There is no discount on DFC.

Who is a Founding Member and what are the benefits of being one?

By design, this program can make a huge impact when the member base registered for this is program is big. To encourage more enrolment when launching, anyone registering within 3 months since launch are recognized as Founding Members.

The benefits of being a Founding Members are:

- 10% discount on the one-time membership fee.
- DFC is paid till their age of 65 (not until 70) or to a maximum of 20 years, whichever is earlier.
- The membership fee is decided based on the age-band or the graduated batch which ever results in a lower amount.

I am a Founding Member and a Patron Member. What is the discount I will get on my membership fee?

As a Founding-Patron Member, you are eligible for a total discount of 15% on the one-time membership fee.

What happens to this program if the member count is too low, resulting in the DFC collected is insignificant to support the bereaved family?

This program will be activated only after it breaches the critical mass of 100 members. If the program could not breach the critical mass, then this program will not be activated, and the one-time membership fee paid will be refunded.

After activating the program if the member count falls below the critical mass, and efforts to increase the membership base fails, then the program will be discontinued, and the remaining corpus will be utilized for other welfare schemes as decided in a following AGM of IRTTAA.

Will there be any special situations by which I can maintain my membership but not contribute to DFC?

The bereaved family gets benefited only via the DFC contribution by every member registered in this program. Given the importance of the DFC, it is important for everyone to contribute the DFC in a timely fashion.

However, if any reasonable context is brought to the notice where someone is mentally/ economically in a bad situation which prevented them from paying the DFC dues on time which resulted in the lapsing of membership, the claim from the nominee may be honoured under special circumstances. The decision of the IRTTAA Office Bearers and the NESAm Committee will be final and binding in evaluating whether the context is reasonable or not in this regard.

Did you consider providing the program via standard insurance service providers?

Yes, we approached many insurance providers for availing Group Term Insurance in the backend. Most insurance providers provide Group Term Insurance only for Employer-Employee based groups and not to a Alumni Group like ours. The few who came back with a proposal had the following shortfalls/ challenges:

- The coverage/ premium will be for the entire member base of IRTTAA and not for a subset.
- The members should be earning. Non-earning members are excluded from the coverage.
- Should be residing within India, and NRIs will be excluded from the coverage.
- The premium for a coverage of 5 lakhs was in tune of ₹ 65 Lakhs for the first year. The premium will be increased in the following year by a minimum of 8-10%. If our claim ratio is high, then the renewal premium will be impacted accordingly.
- Details about the kind of work, CTC and Medical condition of everyone needs to be provided, and the first-year premium may be impacted once this detail is shared with them.
- Every year the premium needs to be paid

As our association does not have any other source of income other than the one-time membership fee for Life/ Patron Member, it is not feasible to fund the annual premium without collecting the same from all the members. Moreover, collecting the premium from all the members of IRTTAA is not possible at all. Hence, after evaluating the options, this program is designed to use “community funding” approach.